

of the calls we received in response to that ad was from Gerry Bamberger, who turned out to be the person who had discovered statistical arbitrage at Morgan Stanley. My recollection is that he developed the strategy around 1982 and was eventually shouldered aside by Nunzio Tartaglia who was his immediate superior. Tartaglia had come in some time later and took over the strategy. So Bamberger was disaffected and left Morgan Stanley. He saw our ad and came out to Newport Beach for an interview. He was very secretive at first, but as soon as he started talking about his strategy, I realized it was the same statistical arbitrage approach we had come up with, except that he had added a dimension that significantly reduced the risk. The innovation that Bamberger had added vis-à-vis our own strategy was that he grouped the stocks by industry and set up long/short portfolios within each industry. By adding industry neutrality, he significantly reduced the risk of the strategy.

When Bamberger explained his industry neutral approach, was your immediate thought “That’s obvious; why didn’t we think of that?”

When Bamberger explained his portfolio structure, I said, “Yes that’s obvious.” But I didn’t say, “Why didn’t we think of that?” probably because we had put the project aside. I believe that if we had decided to include statistical arbitrage in our portfolio, we probably would have migrated to the sector neutral approach rather quickly.

After Bamberger told you what he was doing, where did it go from there?

We created a joint venture that Bamberger ran from New York. We funded it, and he programmed it.

I’m curious. You already essentially knew what Bamberger was telling you, and his innovation was one that you could have easily implemented and would likely have done on your own had you not put the statistical arbitrage project aside. So you really didn’t need Bamberger. Given that, what was your motivation for entering into a profit-sharing agreement with him?

It was almost like a franchise operation. He was very smart and very efficient. He got his own people together, and ran his own shop. It was